CALPUS

Textbook

Human Resource Management

BBA Sem 3 . Calicut University

Compiled by Calpus from 4 module file(s).

Part 1 — Textbook (Modules)

Module 1

SUBJECT: HUMAN RESOURCE MANAGEMENT

Module 1: Understanding the Nature

and Scope of HRM 1 Nature of HRM, HRM Functions, Objectives of HRM Nature of Human Resource Management Human Resource Management (HRM) is a strategic, comprehensive approach to managing an organization's most valuable asset—its people. It is not merely an administrative or clerical department; rather, it is a continuous, future-oriented, and pervasive management function that aligns human potential with corporate strategy.

– Pervasive in Application: HRM is present across all functional levels, operational areas, and hierarchies of an organization. Every manager, from the executive suite to the factory shop floor, handles human resources.

– Continuous & Dynamic Process: HRM operates non-stop throughout the lifecycle of an enterprise. It doesn't pause after recruitment; it actively runs through training, evaluation, retention, and separation.

– Strategic Integration: Modern HRM bridges the gap between workforce capability and long-term organizational goals, shifting human equity from a cost center to a distinct competitive advantage.

Core Functions of HRM The operational duties of an HR department are structurally bifurcated into two major spectrums:

Managerial Functions and Operative Functions.

Functional Spectrum Core Operational Activities & Workflows Managerial Functions – Planning: Forecasting workforce demand and supply metrics to avoid labor deficits or surpluses.

– Organizing: Designing structural hierarchies, operational communication lines, and structural job roles.

– Directing: Guiding, motivating, and leading employees toward achieving targets.

– Controlling: Auditing employee output against standards via appraisal data.

Operative Functions – Procurement (Acquisition): Executing job analysis, sourcing candidates, selection protocols, and onboarding.

– Development: Designing continuous training frameworks, management development, and career path mappings.

– Compensation: Managing wage structures, performance bonuses, non-monetary incentives, and fair benefits.

– Integration: Resolving employee grievances, industrial relations, and aligning organizational culture.

– Maintenance: Providing physical safety frameworks, healthcare programs, and employee retention strategies.

Objectives of HRM HRM operations are guided by four macro-level strategic objectives designed to maintain balance across internal and external stakeholders:

Societal Objectives Organizational Functional Personal Ensuring compliance Objectives Objectives Objectives with legal, ethical, and Recognizing that HRM Maintaining the HR Assisting employees environmental exists to support department's in achieving their mandates, such as corporate performance contribution at a personal goals to equal opportunity and achieve primary level appropriate to maximize employment laws and organizational goals. the organization's performance, local labor welfare unique operational employee codes.

needs. satisfaction, and workforce retention.

2 HRM Models: Harvard, Guest, Warwick, Ulrich Models Analytical models provide a conceptual framework for understanding how HR strategies influence corporate performance and employee engagement metrics.

1. The Harvard Model (Beer et al.) The Harvard Model views HRM as an open, adaptive system that integrates multiple stakeholders. It positions HR as a strategic choice rather than an administrative necessity.

– Stakeholder Interests: Recognizes that shareholders, management, employees, unions, and the government all exert influence over HR policies.

– Situational Factors: Elements like labor market forces, business strategies, management philosophies, and technology shape HR decisions.

– HR Policy Choices: Management can select specific configurations for employee influence, human resource flows, reward systems, and work design.

– Long-term Consequences: Aligns policy choices to drive positive long-term outcomes for individual well-being, organizational effectiveness, and societal welfare.

2. The Guest Model Formulated by David Guest, this model assumes that a specific sequence of integrated HR practices leads to superior financial and operational performance.

The Operational Chain: Input Strategy HR Practices HR Outcomes Behavioral Outcomes Performance Outcomes Financial Results.

The model argues that key outcomes—specifically **High Commitment, High Quality, High Flexibility, and Strategic Integration**—are necessary to transform standard workforce effort into bottom-line corporate profitability.

3. The Warwick Model (Hendry & Pettigrew) Developed at the University of Warwick, this model emphasizes how changes in macro-environmental contexts affect HR structures over time.

– Outer Context: Analyzes macro forces like economic shifts, political-legal dynamics, and socio-technological trends.

– Inner Context: Evaluates internal factors such as corporate culture, leadership styles, structural politics, and task technologies.

– HRM Context & Content: Connects the inner and outer contexts to shape the business strategy, which in turn defines the HR strategy and structural content.

4. The Ulrich Model (Dave Ulrich) Dave Ulrich shifted the focus of HR from its function to its business deliverable. He proposed that HR professionals must operate across four distinct, simultaneous roles to act as true business partners:

Role Quadrant Core Focus Area Operational Deliverable & Contribution Strategic Partner Aligning HR with Translating high-level business goals into Strategy actionable workforce capabilities.

Administrative Managing Re-engineering HR processes, payroll systems, Expert Infrastructure and digital platforms to maximize efficiency.

Employee Champion Managing Workforce Representing employee interests, improving Contribution engagement, and building human equity.

Change Agent Managing Guiding the organizational culture through Transformation structural changes, M&As, or technological upgrades.

3 Personnel Policies and Principles Personnel Policies Personnel Policies represent the formal system of written principles and guidelines established by management to direct decisions regarding workforce operations. They establish standard boundaries for action, ensuring consistency, equity, and predictability across all functional departments.

Key Strategic Benefits: They prevent arbitrary managerial favoritism, reduce internal workplace conflict, provide clear operational paths for resolving grievances, and ensure alignment with national labor codes.

Foundational Principles of HRM HR operations rely on core ethical and strategic principles to guide long-term workforce management:

– Principle of Individual Development: Providing training and alignment opportunities to help every employee maximize their personal potential.

– Principle of Scientific Selection: Deploying standardized, data-driven assessment metrics to ensure the right person matches the right job profile.

– Principle of Free Flow of Communication: Structuring transparent, multi-directional channels for feedback, ideas, and directives between management and employees.

– Principle of Fair Remuneration: Designing compensation frameworks that maintain internal equity and external market competitiveness.

– Principle of Dignity of Labor: Treating every employee with respect, regardless of their role or position in the organizational hierarchy.

4 Jobs in HRM, Internal & External Forces Jobs and Career Paths in HRM The modern HR ecosystem features specialized roles that address different aspects of human capital management:

– HR Generalist: A broad role handling a variety of day-to-day HR functions, including recruitment support, employee relations, payroll verification, and compliance checks.

– HR Specialist: Focuses on a single dedicated discipline within the HR domain, such as:

Talent Acquisition Specialist: Manages employer branding, candidate sourcing, and selection frameworks.

Compensation & Benefits Analyst: Researches market data to optimize wage structures and reward programs.

Learning & Development (L&D) Manager: Designs corporate training paths and skill- enhancement initiatives.

– Chief Human Resources Officer (CHRO): An executive-level leader who coordinates with the C-suite to integrate HR planning with the organization's overarching business strategy.

Environmental Forces Affecting HRM HR planning must continuously adapt to shifts in both internal organizational and external market environments.

Internal Environmental Forces: Factors within the company's direct control, including corporate culture, financial health, internal labor unions, executive leadership styles, and business strategies.

External Environmental Forces: Macro factors outside the company's direct control that require proactive adaptation, such as economic indicators, labor market trends, national legal regulations, socio-cultural shifts, and rapid technological changes (e.g., AI adoption).

5 Skills for HR Professionals, Line Manager Core Skills for Modern HR Professionals To operate effectively under modern business models, an HR professional must develop a balanced set of technical and interpersonal skills:

– Business Acumen: Understanding the company's financial metrics, operational models, and market challenges to ensure HR strategies support the bottom line.

– People Analytics: The ability to leverage workforce data, predictive metrics, and digital platforms to make informed, objective decisions about talent management.

– Emotional Intelligence (EQ): Critical for navigating complex workplace conflicts, managing employee anxieties, and building a supportive corporate culture.

– Ethical Navigation: Maintaining confidentiality, fairness, and legal compliance across all employee interactions and organizational policies.

The Evolving Role of the Line Manager in HRM A key trend in modern corporate design is the decentralization of traditional HR duties, shifting day-to- day workforce management closer to front-line operations.

A Line Manager is a functional head who directly oversees an operational team and is responsible for its immediate output (e.g., a Sales Manager or Production Supervisor). While the corporate HR department sets policies and frameworks, the Line Manager executes HR practices directly on the ground:

– Executing regular performance evaluations and providing immediate feedback.
– Coaching, mentoring, and managing the day-to-day engagement of team members.
– Identifying skill gaps within the team and recommending targeted corporate training.
– Addressing and resolving initial employee grievances before they escalate to formal HR disputes.

The Strategic Partnership: Successful workforce management relies on cooperation between HR specialists (who design corporate policies, tools, and compliance frameworks) and line managers (who apply those frameworks directly to daily team operations).

End of Module 1 – Human Resource Management

Module 2

SUBJECT: HUMAN RESOURCE MANAGEMENT

Module 2: HR Planning

6 Forecasting future workforce needs, Conducting job analysis and job design, job evaluation & its process 1. Human Resource Forecasting Human Resource Forecasting is the predictive segment of Human Resource Planning (HRP) through which an enterprise estimates its future workforce parameters in terms of both quantity (number of staff) and quality (skill segments). It balances two core fields of estimation:

– Demand Forecasting: Predicting the total volume and specific talent profiles required by the organization to hit its future operational targets. Methods include:

Trend Analysis: Studying historical organizational employment ratios across recent years to predict future requirements.

Managerial Judgment: Functional heads gather to synthesize their operational experience and plan adjustments based on department-level workloads.

Delphi Technique: An iterative process where independent human resource experts provide anonymous forecasts, which a facilitator compiles and refines until a consensus is reached.

– Supply Forecasting: Gauging the internal availability of staff profiles alongside the volume of potential talent available in the external labor market. Techniques rely on Markov Analysis (mathematical mapping of regular internal promotions, transfers, and resignations) and comprehensive skill inventories.

2. Job Analysis Job Analysis is a structured process of collecting, documenting, and evaluating data regarding the operations, responsibilities, physical environments, and human requirements of a specific job role. It serves as the framework for all subsequent HR operations. Job analysis outputs two primary constitutional records:

Job Analysis = Job Description + Job Specification 3. Job Design Job Design is the administrative practice of configuring specific work parameters, task sequences, and operational responsibilities into a single unified position to improve employee performance and maximize job satisfaction. Primary design strategies include:

– Job Rotation: Systematically shifting an employee across different functional roles within the company to minimize routine boredom, build cross-departmental capabilities, and understand systemic dependencies.

– Job Enlargement (Horizontal Expansion): Adding more tasks of a similar complexity level to a person's existing job profile to diversify daily activities and improve task variation.

– Job Enrichment (Vertical Expansion): Injecting higher levels of operational autonomy, planning control, accountability, and decision-making capabilities directly into the role, empowering employees to manage their own workflows.

4. Job Evaluation and Its Process Job Evaluation is the analytical practice of determining the relative worth or value of a specific job profile relative to other positions within the organizational framework. It seeks to establish fair internal pay equity based on task complexity, required qualifications, and structural accountability, rather than measuring the performance of an individual worker.

The standard operational **Job Evaluation Process** follows these steps:

1. Objective Formulation 2. Committee Creation 3. Factor Selection Defining the scope of the Structuring an unbiased, Identifying key compensable evaluation and securing representative panel containing factors (e.g., physical effort, institutional alignment between HR experts, operational mental strain, educational trade unions and leadership management, and external thresholds, environmental risks) structures. valuation specialists. to act as benchmarks.

4. Method Application & Grading 5. Wage Structure Alignment Applying qualitative systems (Ranking/Grading) or Mapping final job evaluation grades to fair monetary quantitative systems (Point Rating/Factor salary scales, establishing transparent, consistent Comparison) to systematically score job parameters. internal pay equity.

7 Role of Job descriptions and Specifications, Recruitment Methods and Sources Job Description vs. Job Specification Though both are products of a thorough job analysis, they address distinct operational dimensions of a position:

Core Dimension Job Description (JD) Job Specification (JS) Primary Focus Concentrates on the functional Concentrates on the human characteristics, parameters, and qualifications, skills, and traits required boundaries of the Job itself. of the Job Holder.

Content Profile Contains official job title, geographical Contains required academic workspace, clear summary of tasks, credentials, specialized technical specific duties, supervisory structures, certifications, work experience years, and environmental hazards. psychological soft skills, and physical aptitudes.

Operational Utilized to write public hiring ads, Utilized by screening teams to filter Utility evaluate performance during resumes, format selection tests, and appraisals, and resolve internal role- grade interview performance.

boundary disputes.

Recruitment: Definition and Philosophy Recruitment is the positive process of searching for prospective employees and stimulating or encouraging them to apply for vacant positions within an enterprise. It focuses on expanding the recruitment pool to maximize the chances of securing top talent.

Methods and Sources of Recruitment Sourcing pipelines are structurally divided into Internal and External talent pools:

- Internal Sources (Hiring from Within):

Promotions: Moving high-performing employees to a higher vertical rank, complete with increased responsibility, status, and salary. It boosts morale across the wider organization.

Transfers: Horizontal shifts across locations or departments without major changes in salary or status, ideal for resolving local talent imbalances.

Internal Job Postings (IJPs): Publishing vacancies on internal corporate portals, allowing current employees to apply for alternative roles proactively.

- External Sources (Sourcing from the Open Market):

Campus Recruitment: Sourcing entry-level candidates directly from universities and technical institutions, ensuring a fresh influx of new ideas.

E-Recruitment & Job Portals: Leveraging specialized digital platforms (LinkedIn, Indeed) to broadcast opportunities globally and handle applicant pipelines.

Employment Exchanges: Utilizing state-managed registries to source skilled or semi-skilled laborers for technical or operational roles.

Direct Walk-ins & Gate Hiring: Sourcing candidates on-site, a method commonly deployed for high-volume operational or casual workforce requirements.

8 Selection Processes and Techniques, Interviewing Skills and Techniques The Selection Process: Definition Unlike recruitment, which is a positive process designed to expand the candidate pool, **Selection** is a negative process focused on systematically evaluating applicants and rejecting unsuitable candidates to identify the individual best suited for the role.

Step-by-Step Selection Funnel An applicant must successfully pass through a series of rigorous evaluation stages:

– 1. Initial Screening: Reviewing submitted applications and resumes against core job specification parameters to filter out under-qualified candidates.

– 2. Preliminary Interview: A brief initial assessment (often conducted via phone or video call) to verify baseline fit, check salary expectations, and evaluate communication skills.

– 3. Selection Testing: Using standardized, data-driven assessments to evaluate specific capabilities:

Aptitude Tests: Measuring mental capacity, logical reasoning, analytical skills, and verbal comprehension.

Personality Tests: Evaluating psychological patterns, emotional stability, interpersonal styles, and cultural fit.

Trade/Work Sample Tests: Requiring the candidate to complete a practical exercise directly related to the actual job tasks (e.g., writing code or analyzing a financial sheet).

– 4. Core Selection Interview: A deep-dive face-to-face evaluation with senior leadership and HR experts to judge advanced competencies and cultural alignment.

– 5. Reference & Background Verification: Auditing past employment claims, academic credentials, and professional track records to verify integrity.

– 6. Physical Medical Examination: Ensuring the candidate satisfies the physiological health standards required to perform the job safely.

– 7. Final Job Offer & Contract: Issuing a formal offer letter detailing the compensation package, starting date, and employment conditions.

Interviewing Skills and Techniques Interviews remain a primary tool for evaluating candidates, and their success depends heavily on the techniques deployed and the skills of the interviewer.

Core Interviewing Techniques:

– Structured Interviews: The interviewer follows a pre-set sequence of standardized questions with a rigid grading matrix. It ensures high consistency and reduces personal bias, making it ideal for objective comparisons.

– Unstructured Interviews: Operates as a flexible, conversational dialogue without fixed questions. It allows the interviewer to explore unique candidate backgrounds but is prone to personal bias.

– Behavioral Interviews (The STAR Framework): Based on the principle that past behavior predicts future performance. Candidates are asked to describe specific past experiences using the STAR method: Situation, Task, Action, and Result.

– Stress Interviews: Deliberately placing the candidate in an uncomfortable, high-pressure scenario (via aggressive questioning or cold behavior) to evaluate their emotional control, patience, and problem-solving skills under stress.

Critical Skills for Interviewers: Active listening (interpreting verbal nuances and body language), behavioral probing (asking targeted follow-up questions to uncover details), objective evaluation (mitigating common psychological biases like the *Halo Effect* or *Horn Effect*), and clear employer branding communication.

9 Placement, Employee Onboarding, Training & Development (Only the concept) Once a candidate is selected, the HR focus shifts to integration, orientation, and continuous capacity enhancement.

1. Placement Placement is the operational stage where a selected candidate is formally assigned to a specific job role, department, and workstation within the organization. It represents the practical application of the principle: "The right person in the right job." Proper placement matches the candidate's verified skill sets and behavioral traits with the functional demands of the position to optimize early performance.

2. Employee Onboarding (Induction) Employee Onboarding is the comprehensive process of welcoming a new hire, orienting them to their work environment, and integrating them into the organization's culture, operational workflows, and social structures.

– The Objective: To ease transition anxieties, share corporate values and behavioral expectations, clarify immediate performance goals, and complete mandatory regulatory documentation.

– Strategic Value: High-quality onboarding accelerates the time-to-productivity for new hires, fosters early organizational alignment, and significantly improves long-term talent retention rates.

3. Training and Development: The Conceptual Core While often grouped together, Training and Development address distinct structural timelines and strategic objectives within human capital management:

The Concept of Training The Concept of Development Short-Term & Job-Specific Long-Term & Future-Oriented A structured, short-term educational process A holistic, continuous, and long-term learning designed to help employees acquire specific process designed to enhance an employee's technical skills or operational knowledge required to conceptual, leadership, and emotional capabilities. It perform their current job role more efficiently. prepares them to handle greater responsibilities, Focuses on immediate proficiency (e.g., learning a complex managerial decisions, and future specific software module). organizational roles.

End of Module 2 – HR Planning

Module 3

SUBJECT: HUMAN RESOURCE MANAGEMENT

Module 3: Training & Development

10 Identifying Organizational Needs, Orientation, Training & its Process 1. Identifying Training Needs (Training Needs Assessment - TNA) Training should never be implemented as a random corporate reaction; it must be a calculated response to identified performance deficits. Training Needs Assessment (TNA) is the systematic diagnostic phase that uncovers gaps between an organization's current workforce capabilities and its desired operational benchmarks. A comprehensive TNA evaluates three distinct levels of analysis:

– Organizational Analysis: An overarching evaluation of the company's macro strategic goals,

resource availability, capital allocations, and organizational culture. It answers whether training aligns with the company's long-term business trajectory and if the corporate climate supports behavioral transformation.

– Task / Job Analysis: A deep dive into the operational requirements of specific job profiles (derived

from Job Descriptions and Specifications). It analyzes the exact knowledge, skills, and abilities (KSAs) required to perform tasks at an optimal competency standard.

– Individual / Person Analysis: Focusing directly on the current staff holders. It determines who

exactly needs training and what specific skill gaps they possess. Data is captured via performance appraisal metrics, supervisor feedback, capability testing, and self-assessment surveys.

2. Employee Orientation & Onboarding Strategy Orientation (Induction) is the structured process of integrating newly selected talent into their immediate work units, cultural environments, and organizational operational systems. It marks the transition from an external candidate to an internal productive asset.

Tactical vs. Strategic Orientation: Tactical orientation covers administrative requirements, such as establishing IT access, issuing identity assets, and filling out policy forms. Strategic orientation focuses on cultural alignment—communicating core corporate philosophies, defining behavioral expectations, and clarifying early performance goals to maximize long-term retention.

3. The Systematic Training Process Modern human capital development treats training as a continuous, closed-loop lifecycle containing four major operational phases:

Phase 1: Phase 2: Phase 3: Phase 4: Kirkpatrick Evaluation Diagnostic Program Tactical Measuring training effectiveness across four systematic tiers: Reaction, Assessment Architecture Execution Learning, Behavioral Executing a Designing The physical Transformation, and Business multi-level TNA curriculum delivery of the Results.

to identify skill blueprints, training module, deficits and selecting utilizing establish clear, instructional selected on-the- measurable, and methodologies, job or off-the- time-bound choosing internal/ job learning learning external trainers, environments.

objectives. and setting budgetary constraints.

11 & 12 On-the-Job & Off-the-Job Management Development Programmes (MDP) & Executive Development Programmes (EDP) Understanding MDP and EDP While standard technical training focuses on immediate operational tasks, Management Development Programmes (MDP) and Executive Development Programmes (EDP) focus on future capabilities. They are strategic educational

interventions designed to improve the conceptual, analytical, leadership, and decision-making skills of managers and top-tier executives.

– Management Development Programmes (MDP): Focuses primarily on junior and mid-level managers, building competencies in team leadership, tactical problem-solving, project management, and cross-functional coordination.

– Executive Development Programmes (EDP): Tailored for senior management and C-suite executives. The curriculum focuses on high-level strategic planning, corporate governance, global macroeconomics, organizational transformation, and risk mitigation.

Methodology Classification: On-the-Job vs. Off-the-Job Development programs utilize distinct learning environments based on the target competency profile:

Learning Category Core Methodologies Strategic Operational Blueprint On-the-Job – Job Rotation: Vertical/ Executes development within the actual Development Horizontal shifts. workspace. Capitalizes on immediate, (Context-Rich Learning) – Coaching & Mentoring: 1-on-1 real-world operational challenges. The guidance. executive learns while actively

– Understudy Assignments: producing business value, but errors
Deputy training. can expose the company to live

– Committee Assignments: operational risks.
Cross-functional task forces.

Off-the-Job – Case Study Analysis: Harvard Removes the manager from the daily Development style. pressures of the live workplace to allow (Conceptual Reflection) – In-Basket Exercises: Priority for deep, objective conceptual simulation. reflection. Provides a safe environment

– Management Simulation where executives can practice complex
Games: Dynamic matrices. decision-making and experience

– Sensitivity Training: T-Group structural failures without risking
behavioral labs. company capital.

Deep Dive into Key Development Techniques

– In-Basket Exercises: A situational simulation where a manager is given an inbox filled with varied corporate communications (emails, complaints, requests, reports) and a tight deadline. The manager must review the material, establish priorities, delegate tasks, and formulate action plans under pressure, allowing observers to evaluate their analytical processing and organizational skills.

– Case Study Analysis: Immerses executives in complex, real-world historical business challenges. They must analyze data, diagnose operational root causes, debate alternative strategies, and defend their proposed solutions, which sharpens critical thinking and strategic agility.

– Sensitivity Training (T-Groups): A passive, unstructured laboratory environment designed to build emotional intelligence. Participants interact freely without a set agenda, helping them gain insight into how their behavior affects others and improving self-awareness, empathy, and interpersonal dynamics.

13 Career Development, Role & Challenges of Career Development The Concept of Career Development Career Development is a continuous, lifelong process of planning, managing, and shaping an individual's professional path over time. It represents a strategic partnership between two operational components:

Career Development = Career Planning (Individual Focus) + Career Management (Organizational Focus) The Linear Stages of Career Progression An individual's professional lifecycle typically transitions through five distinct phases:

– 1. Exploration Stage (Ages 15–25): Pre-employment phase marked by self-discovery, formal education, skill building, and testing out various professional options via internships.

– 2. Establishment Stage (Ages 25–45): The core building phase. The professional secures an initial role, seeks job security, builds specialized operational capabilities, and strives for early promotion up the vertical hierarchy.

– 3. Mid-Career Stage (Ages 45–55): A transitional period. The professional either experiences steady advancement toward senior leadership roles, transitions into a mentorship capacity, or faces a structural career plateau.

– 4. Late Career Stage (Ages 55–65): Characterized by consolidation and leadership stability. The professional leverages their accumulated institutional wisdom to guide strategy, mentor younger talent, and plan for retirement.

– 5. Decline Stage (Ages 65+): The formal exit from full-time corporate employment, shifting focus toward retirement and transition planning.

Role and Strategic Importance of Career Development When an organization builds clear, structured career pathways, it supports both individual and corporate goals:

– For the Organization: Drives systematic succession planning for leadership roles, reduces costly talent turnover, attracts high-potential candidates in the recruitment market, and aligns human capital with future growth needs.

– For the Individual: Enhances personal motivation, ensures internal equity, improves job satisfaction, and helps employees maintain relevant, competitive skill sets.

Contemporary Challenges in Career Development Modern HR departments must navigate complex external forces that disrupt traditional, linear career models:

– 1. The Career Plateau Problem: Occurs when an employee reaches a point in their career where the probability of further vertical promotion within the hierarchy becomes exceptionally low. This can lead to stagnation and lower engagement. HR must use horizontal enrichment or special cross-functional projects to keep talent motivated.

– 2. Changing Psychological Contracts: The traditional unwritten agreement of "lifetime loyalty in exchange for lifetime job security" has largely disappeared. Modern professionals operate as self-directed agents focused on building transferable skills, creating highly dynamic but volatile talent landscapes.

– 3. Dual-Career Couple Friction: The rise of multi-income households creates complex challenges for traditional corporate relocations and global transfers, as assignments must accommodate two independent professional paths.

– 4. Technological Obsolescence (AI Disruption): Rapid automation and artificial intelligence can quickly make specialized technical skill sets redundant. HR must replace old career paths with continuous, agile upskilling frameworks to ensure workforce capabilities match evolving needs.

End of Module 3 – Training & Development

Module 4

SUBJECT: HUMAN RESOURCE MANAGEMENT

Module 4: Organizational Culture &

Emerging Trends 14 Performance Management: Nature, Objectives Performance Management is a continuous, strategic, and forward-looking corporate process designed to align individual employee outputs directly with an organization's core business goals. It transcends the traditional view of a simple HR checklist; rather, it functions as a comprehensive management framework that establishes open feedback channels, removes execution friction, and cultivates a high- performance workforce culture.

– Continuous Lifecycle: Unlike annual reviews, performance management operates non-stop

throughout the year, combining regular goal refinement, performance tracking, dynamic feedback loop reviews, and coaching interventions.

– Strategic & Vision-Driven: It acts as a linkage mechanism, cascading macro corporate strategies

down into tangible, measurable key performance areas (KPAs) for single individual contributors.

– Developmental Focus: It prioritizes human development, identifying capability roadblocks and

structuring learning systems to improve future execution rather than focusing purely on past failures.

Core Objectives of Performance Management A robust performance management system drives institutional growth across four core objectives:

Strategic Administrative Developmental Documentation Alignment Utility Planning Compliance Ensuring that Generating verified Pinpointing specific skill Maintaining accurate every team performance metrics to deficiencies to create employee performance project, guide compensation customized technical logs to protect the operational adjustments, upskilling paths and organization against workflow, and promotions, internal leadership legal or internal labor individual transfers, and career development pipelines. disputes during employee task paths. separations.

supports the company's overarching mission.

15 Performance appraisal: Nature, Types While performance management is an ongoing, forward-looking system, a Performance Appraisal is a structured, discrete event focused on evaluation. It represents a systematic, historical review that assesses an employee's job performance and contribution over a specific period against pre-set standards.

The core evaluation scope includes measuring the alignment of actual work outputs with targeted goals, tracking behavioral competencies, assessing technical skill development, and acting as the official record to justify organizational talent decisions.

Classifications & Types of Appraisal Methodologies Structural Framework & Execution Operational Strengths & Appraisal Type Mechanics Flaws Traditional Systems – Graphic Rating Scale: Traits (quality, Simple to implement and (Graphic Rating, Critical dependability) scored on a quantitative highly standardized.

Incident) scale. However, it is prone to

– Critical Incident Method: Logs leniency issues, central

exceptional positive/negative behavioral tendency bias, and the Halo/ events in real time. Horn Effect.

– Forced Distribution: Grades employees

along a rigid bell curve scale.

Structural Framework & Execution Operational Strengths & Appraisal Type Mechanics Flaws Modern Systems – Management by Objectives (MBO): Reduces individual (MBO, 360-Degree, Collaborative goal setting between manager supervisor bias, improves OKRs) and employee. workplace communication,

– 360-Degree Feedback: Multi-source and targets development.

reviews from peers, subordinates, However, it can be time- managers, and clients. consuming and complex to

– OKRs: Transparent mapping of Objectives manage.

and Key Results.

16 Employee engagement: Nature, Type, Drivers Employee Engagement represents the emotional commitment, psychological investment, and cognitive alignment an employee maintains toward their organization and its core business objectives. It is distinct from simple job satisfaction—a satisfied employee may execute tasks adequately for a paycheck, whereas an engaged employee applies discretionary effort, pushing boundaries to drive innovation and corporate efficiency.

Three Core Types of Engagement Levels

– Actively Engaged: Passionate, innovative, and deeply aligned with company goals. These individuals apply discretionary effort, champion corporate culture, and drive performance.

– Not Engaged (Quiet Quitters): Physically present but psychologically checked out. They execute basic duties to meet minimum requirements but invest zero emotional energy or creative passion into workflows.

– Actively Disengaged: Unhappy and disconnected. They openly broadcast their dissatisfaction, undermine team projects, lower morale, and actively work against organizational success.

Primary Drivers of Employee Engagement

– Leadership Transparency & Vision: Clear communication from executives regarding company goals builds trust and gives employees a sense of purpose.

– Clear Career Trajectories: Providing transparent internal growth steps and continuous learning pathways encourages long-term talent retention.

– Recognition & Rewards: Timely, fair acknowledgment of exceptional contributions reinforces positive behavioral outputs.

– Work-Life Wellness & Flexibility: Supporting physical, mental, and logistical well-being prevents employee burnout.

– Inclusive Culture & Autonomy: Providing ownership over workflows creates a sense of accountability and pride in work outcomes.

17 Compensation management: Nature, Components, Factors Compensation Management is the strategic function of designing, implementing, and auditing an organization's total reward architecture. It seeks to balance two competing operational goals:

maintaining internal equity (ensuring fair pay relative to task complexity) and external market competitiveness (ensuring pay matches the recruitment market), all while managing corporate labor budgets effectively.

The Core Structure of Compensation Components To optimize talent acquisition and operational efficiency, compensation strategies structurally divide rewards into fixed baseline components, dynamic variable incentive blocks, and indirect benefits. This total reward balance is organized under a standardized framework:

Total Compensation = Fixed Base Salary + Variable Incentives + Perquisites & Fringe Benefits Determinants & Factors Influencing Compensation Structures

– Internal Factors: The organization's financial health and budget limits, corporate growth strategies, internal union bargaining power, and the relative worth of the position established by formal Job Evaluations.

– External Factors: Supply and demand imbalances in the local labor market, cost-of-living metrics (Consumer Price Index - CPI), statutory minimum wage laws, and industry-standard baseline survey benchmarks.

18 Components of Pay: Salary, Incentives, Bonus, Commission, Perks, Others Modern corporate reward architectures break down employee payouts into specialized elements, each designed to incentivize distinct operational outcomes:

– Salary (Base Wage): The predictable, guaranteed fixed cash component paid regularly. It forms the

benchmark foundation for calculating statutory benefits like gratuity and retirement funds.

– Incentives (Variable Pay): Performance-linked pay blocks. These can be short-term (e.g., quarterly bonuses for hitting individual targets) or long-term (e.g., Stock Options/ESOPs to tie executive rewards to company valuation growth).

– Bonus: Periodic lump-sum payments. These can be statutory mandates (such as legal profit-sharing

frameworks) or ex-gratia distributions based on exceptional corporate performance over the year.

– Commission: A revenue-linked variable percentage structure, commonly deployed in sales departments to directly incentivize individual revenue generation.

– Perks (Perquisites): Non-cash fringe benefits designed to support executive lifestyle and retention, such as corporate vehicle allocations, premium housing, and comprehensive family health coverage.

– Others (Statutory Allowances): Targeted cash additions to address specific costs, such as House Rent Allowance (HRA), Dearness Allowance (DA) for inflation adjustment, and Travel Allowance

(TA).

19 Separation: Nature & Types, Transfer, Conflict: Nature, Causes & Resolving Conflict I. Employee Separation & Internal Mobility Separation represents the final stage of the employment lifecycle, where the formal contract between the employee and the enterprise is legally terminated. It is categorized by the initiating force behind the departure:

– Voluntary Separations:

Resignation: Initiated by the employee for personal growth, career changes, or alternative opportunities. It requires managing exit interviews to capture cultural and operational insights.

Retirement: Reaching the statutory age limit for full-time employment, requiring long-term succession planning and retirement fund execution.

– Involuntary Separations (Employer-Initiated):

Layoffs: Temporary suspension of employment caused by sudden market recessions, raw material shortages, or operational downsizing, without fault of the employee.

Retrenchment: Permanent termination of surplus labor to cut structural operational costs, usually requiring statutory severance payouts.

Dismissal / Discharge: Terminating an employee for cause due to gross behavioral misconduct, persistent performance failure, or a direct breach of corporate policy.

– Internal Mobility - Transfers: A horizontal shift of an employee from one department, workstation,

or geographical location to another, without significant modifications to their rank, responsibilities, or salary. Transfers are utilized to address project load changes, resolve interpersonal friction, or build cross-functional capabilities.

II. Conflict Management in the Workspace Organizational Conflict is a process that begins when one party perceives that another has negatively affected, or is about to negatively affect, something that the first party cares about. It is caused by key bottlenecks such as resource scarcity, role ambiguity, communication breakdowns, or goal incompatibility.

Managers navigate and resolve friction points using the Thomas-Kilmann Framework, balancing Assertiveness against Cooperativeness:

Competing (High Assert, Collaborating (High Assert, Compromising (Mid Low Coop) High Coop) Assert, Mid Coop) A win-lose strategy where one A win-win strategy where both An intermediate strategy where party uses power and authority parties openly debate issues to both sides make concessions to force a resolution, necessary find an integrative solution that to find a fast, mutually during emergencies or critical satisfies all concerns, ideal for acceptable middle ground.

enforcement runs. complex, critical projects.

Avoiding (Low Assert, Low Coop) Accommodating (Low Assert, High Coop) Withdrawing from the conflict altogether, appropriate Placing the other party's concerns above one's own when the issue is trivial or emotions are running too to maintain harmony, useful when the relationship high. value outstrips immediate transactional parameters.

20 HR Information System & Ethical aspects of HRM Human Resource Information System (HRIS) A Human Resource Information System (HRIS) is an integrated digital software platform designed to gather, store, analyze, and manage an organization's employee data. It features modular engines spanning applicant tracking pipelines (ATS), centralized payroll automation, attendance logs, benefits management, and performance analytics dashboards. It transforms administrative workflows into data-driven strategic insights.

Ethical Aspects of Modern HRM As data analytics and automated workflows shape modern management, HR professionals must balance efficiency with strict ethical guardrails:

– Workplace Privacy vs. Continuous Surveillance: Managing the boundary between legitimate

productivity tracking (e.g., system logins) and respecting employee privacy rights, ensuring tracking policies are transparently disclosed.

– AI Bias in Recruitment Pipelines: Auditing automated screening tools and algorithm-driven

applicant tracking systems to ensure they do not replicate historical demographic prejudices or introduce systemic discrimination against underrepresented candidate pools.

– Data Security and Confidentiality: Safeguarding sensitive employee records—including medical backgrounds, payroll details, and performance evaluations—from data breaches or unauthorized internal access.

– Whistleblower Protection Mechanisms: Formulating safe, anonymous channels for employees to report corporate malpractice, financial fraud, or workplace harassment without fear of professional retaliation.

– Fair Labor Treatment & Equal Payouts: Enforcing absolute transparency across pay structures to eliminate gender or demographic wage gaps, while ensuring safe working conditions across the organization.

End of Module 4 – Human Resource Management

Part 2 — Official Syllabus

ni.evileerged.www BBA Semester III Calicut University Human Resource Management Course Code: BBA3CJ203 – Module SYLLABUS Notes ni.evileerged.www Course Syllabus Course Code: BBA3CJ203 | Course Title: Human Resource Management | Semester: III

Module I: Introduction to HRM & Human Resource Planning

– Unit 1: Concept, Scope, Functions, Objectives, and Evolution of HRM.

– Unit 2: Strategic HRM (SHRM) & Role of HR Managers in Modern Business.

– Unit 3: Job Analysis – Job Description and Job Specification.

– Unit 4: Human Resource Planning (HRP) – Demand & Supply Forecasting.

Module II: Recruitment, Selection & Training

– Unit 5: Recruitment – Internal and External Sources, E-Recruitment.

– Unit 6: Selection Process – Screening, Testing, Interviewing, Background Checks.

– Unit 7: Orientation, Induction, Socialization, Placement.

– Unit 8: Training and Development – Need Identification, Methods (On-the-Job, Off-the-Job).

Module III: Performance Management & Compensation

– Unit 9: Performance Appraisal – Concept, Process, Methods (360-degree, BARS,

MBO).

– Unit 10: Compensation Management – Wages, Salaries, Incentive Plans, Fringe Benefits.

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– Unit 11: Job Evaluation Methods (Point, Ranking, Factor Comparison).

– Unit 12: Career Planning, Career Development, Succession Planning.

Module IV: Employee Relations, Health & Safety

– Unit 13: Industrial Relations – Trade Unions, Collective Bargaining, Grievance Redressal.

– Unit 14: Employee Discipline – Misconduct, Disciplinary Action, Domestic Inquiry.

– Unit 15: Workplace Health, Safety, Welfare Provisions & Employee Engagement.

– Unit 16: HR Audit, HR Information System (HRIS), International HRM Trends.

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